INSTITUTIONAL CREDIT SUBMISSION | GERMAN RETAIL CRE

Stadtgalerie Sued

Duisburg / Nordrhein-Westfalen | Shopping Centre (Distressed)

IC RECOMMENDATION

DECLINE

Asking Price	Equity	Loan Amount	GIY	WAULT	Vacancy
EUR 4,200,000	**EUR 1,200,000**	**EUR 3,000,000**	**7.0%**	**1.7 yrs**	**53.8%**

IC RECOMMENDATION RATIONALE

Multiple critical covenant breaches. Not suitable for IC submission.

(+) Attractive yield of 7.0% vs. market benchmark
(!) CAUTION Vacancy <= 10%: 53.8% (benchmark <= 10%)
(!) CAUTION 3-Year Expiry Risk <= 30%: 100.0% (benchmark <= 30%)
(!) CAUTION Debt Yield >= 7.5% (NOI / Loan): 3.79% (benchmark >= 7.5%)

CRITICAL FLAGS
CRITICAL LTV <= 65%: 71.4% (required <= 65%)
CRITICAL DSCR >= 1.30x: 0.62x (required >= 1.30x)
CRITICAL ICR >= 1.75x: 0.92x (required >= 1.75x)
CRITICAL WAULT >= 4 years: 1.7 yrs (required >= 4 yrs)

1. TRANSACTION SUMMARY

Property Name	**Stadtgalerie Sued**
Location	**Duisburg / Nordrhein-Westfalen**
Asset Type	**Shopping Centre (Distressed)**
Gross Leasable Area	**6,500 m²**
Asking Price	**EUR 4,200,000**
Equity Contributed	**EUR 1,200,000**
Loan Amount	**EUR 3,000,000**
Loan-to-Value (LTV)	**71.4%**
Total Acquisition Cost	**EUR 4,578,000**
GrESt Rate	**6.5%**
Notar / Broker Fees	**2.5%**
Interest Rate	**4.10%**
Amortisation Rate	**2.00%**
Active Leases	**5**
Vacant Units	**3**

2. KEY UNDERWRITING METRICS

LTV	**71.4%**	Target: <= 65%
DSCR	**0.62x**	Target: >= 1.30x
ICR	**0.92x**	Target: >= 1.75x
GIY	**7.0%**	Target: >= 5.5%
NIY	**2.7%**	Target: NOI / Price
WAULT	**1.7 yrs**	Target: >= 4 yrs
Vacancy Rate	**53.8%**	Target: <= 10%
Anchor Conc.	**51.3%**	Target: <= 55%
3yr Expiry Risk	**100.0%**	Target: <= 30%
Debt Yield	**3.8%**	Target: >= 7.5%
IRR (10yr est.)	**N/A**	Target: > 7% target
AfA (non-cash)	**EUR 63,000**	Target: §7 EStG 2%/yr

3. RENT ROLL SCHEDULE

Unit	Tenant	Sector	Area m²	EUR/m²/mo	Annual Rent	Expiry	Rem.	A
U-01	Penny Markt GmbH	Discount Food	1,800	7.00	EUR 151,200 (51%)	Mar 2028	2.0yr	(*)
U-02	Woolworth GmbH	General Merchandise	600	7.50	EUR 54,000 (18%)	Sep 2027	1.5yr	
U-03	Nails & Beauty	Personal Services	250	12.00	EUR 36,000 (12%)	Mar 2027	1.0yr	
U-04	Phone Repair Shop	Electronics Services	200	11.00	EUR 26,400 (9%)	Sep 2026	0.5yr	
U-05	Lottery / Lotto	Personal Services	150	15.00	EUR 27,000 (9%)	Sep 2028	2.5yr	
U-06	*VACANT*	--	*1,500*	--	--	--	--	
U-07	*VACANT*	--	*1,200*	--	--	--	--	
U-08	*VACANT*	--	*800*	--	--	--	--	
	5 tenants	**TOTAL / WTD**	**3,000**	**8.18**	**EUR 294,600**	**WAULT 1.7yr**	**(*) = Anch**	

Vacant area: 3,500 m² | Vacancy: 53.8% | Total GLA: 6,500 m²

4. NOI BRIDGE / COST BREAKDOWN

NOI source: Itemised Cost Sheet

Gross Passing Rent	**EUR**	**294,600**
Property Management Fee	-EUR	4,419
Asset Management Fee	-EUR	1,473
Building Insurance	-EUR	19,500
CapEx Reserve	-EUR	45,500
Grundsteuer (Property Tax)	-EUR	4,500
Void Service Charge	-EUR	70,000
Void Insurance	-EUR	7,000
Letting / Leasing Commissions	-EUR	23,568
Other Non-Recoverables	-EUR	5,000
NET OPERATING INCOME (NOI)	**EUR**	**113,640 (38.6% margin)**
Annual Debt Service (interest + amortisation)	-EUR	183,000
Levered Cash Flow (pre-tax)	**EUR**	**69,360**

AfA (non-cash, §7 Abs.4 EStG): EUR 63,000/yr on building value EUR 3,150,000 (75% of price, 2% linear depreciation)

5. RISK ASSESSMENT & MITIGANTS

QA Result: 4 critical (RED) 3 caution (YELLOW) 4 passed

CRITICAL RISKS -- MUST RESOLVE BEFORE IC APPROVAL

LTV <= 65% — **Actual: 71.4% Bench: <= 65%**

Risk: Loan-to-value exceeds the 65% lender threshold, reducing the equity buffer against an asset value decline and increasing refinancing risk.

Mitigant: Increase equity contribution to bring LTV at or below 65%. Alternatively, negotiate a 1-2% price reduction or explore a share deal structure to reduce acquisition costs and improve effective LTV.

DSCR >= 1.30x — **Actual: 0.62x Bench: >= 1.30x**

Risk: Debt service coverage below 1.30x leaves limited headroom before a covenant breach. A 15% rental reduction would impair the borrower's ability to service debt.

Mitigant: Stress-test NOI with a 10% rent reduction and document the floor DSCR. Seek an interest-only period to defer amortisation while occupancy stabilises. Consider a cash sweep mechanism once DSCR exceeds 1.50x.

ICR >= 1.75x — **Actual: 0.92x Bench: >= 1.75x**

Risk: Interest cover ratio below 1.75x exposes the loan to covenant breach risk at refinancing if market rates increase.

Mitigant: Model a 200bps rate shock at the refinancing date. Explore an interest rate cap or collar for the loan term to limit rate exposure.

WAULT >= 4 years — **Actual: 1.7 yrs Bench: >= 4 yrs**

Risk: Weighted average unexpired lease term below 4 years. Income security is limited within the loan term and refinancing may be difficult without lease renewals.

Mitigant: Require signed lease renewals or heads-of-terms on key tenants as a condition to drawdown. Negotiate a vendor indemnity for void risk on leases expiring within 18 months of closing.

CAUTION FLAGS -- FURTHER DILIGENCE REQUIRED

Vacancy <= 10% — **Actual: 53.8% Bench: <= 10%**

Risk: Above-average vacancy creates ongoing void cost exposure and increases re-letting execution risk. Extended voids could impair debt service coverage.

Mitigant: Build a void cost reserve into debt sizing at drawdown. Obtain a letting agent's opinion on achievable rent and realistic re-letting timeline. Stress-test NOI assuming a 24-month void on the largest vacant unit.

3-Year Expiry Risk <= 30% — **Actual: 100.0% Bench: <= 30%**

Risk: More than 30% of rental income expires within 3 years, creating material re-letting risk within the loan term. Failure to renew could breach covenants.

Mitigant: Require renewal heads-of-terms from key expiring tenants before closing. Negotiate a cash retention at drawdown equivalent to 12 months rent of all leases expiring within 24 months, released on renewal confirmation.

Debt Yield >= 7.5% (NOI / Loan) — **Actual: 3.79% Bench: >= 7.5%**

Risk: Debt yield below 7.5% indicates the lender receives insufficient income coverage on an unlevered basis, creating vulnerability on enforcement.

Mitigant: Reduce loan quantum or improve NOI to achieve a debt yield above 7.5%. Document any precedent transactions at comparable debt yield levels.

METRICS PASSING IC BENCHMARKS

Anchor Concentration <= 55%	**51.3%**	Benchmark: <= 55%
GIY >= 5.5% (retail DE 2026)	**7.01%**	Benchmark: >= 5.5%
NOI > 0	**EUR 113,640**	Benchmark: > 0
Equity > 0	**EUR 1,200,000**	Benchmark: > 0